PSP Projects Ltd - Concall Tracker

Do the earnings calls show a durable earning trigger, and has management been consistent about it?

Ticker: PSPPROJECT (NSE) / 540544 (BSE) | Quarter: Q1 2027 (Apr-Jun 2026) | Report date: 6 Nov 2026 | Source: Screener.in earnings-call transcripts

1. Snapshot

What the business does: PSP Projects is an Ahmedabad-based building contractor. It builds offices, factories, hospitals, temples, housing and government buildings on a fixed-scope EPC basis (engineering, procurement and construction: it takes the whole job from design to hand-over). Since late 2024 the Adani Group co-owns it and is its biggest customer, and about 70% of the work in hand is Adani work.

MARKET VALUE
₹3,147 cr
The market's price tag on the company. Down from about ₹4,066 cr at our last report.

Q1 FY27 REVENUE
₹853 cr
Apr-Jun 2026 sales, up 65% in a quarter that's usually weak (monsoon, labour shortages).

Q1 FY27 NET PROFIT
₹18 cr
Versus almost nothing (₹0.37 cr) a year ago. Profit is finally showing up, though still only about 2 paise per ₹1 of sales.

OPERATING MARGIN (EBITDA)
6.4%
Up from 4.8% a year ago, but still well short of the old 11-13% this company used to promise.

ORDER BOOK
₹13,245 cr
Signed work not yet built, about three years of sales. Twice last year's level.

PRICE TO EARNINGS
~39x
You pay about ₹39 per ₹1 of yearly profit. Cheaper than at our last read, still rich for a low-margin builder.

2. Concall coverage

Quarter	Call date	Transcript read?
Q1 FY24 → Q2 FY26 (8 calls incl. the Nov 2024 Adani stake-sale call)	Jul 2023 - Oct 2025	Carried forward from Q4-2026 report
Q4 FY26 (prior report's boundary)	30 Apr 2026	Carried forward from Q4-2026 report
Q1 FY27 (Apr-Jun 2026)	**30 Jul 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this quarter; the three-year backstory comes from the Q4-2026 report. Calls after 30 Sep 2026 are left for the next report.

Latest concall highlights - Q1 FY27 (30 Jul 2026)

- **Sales and profit both up.** Revenue ₹853 cr (+65%), EBITDA ₹55 cr (more than double), net profit ₹18 cr from almost zero. Plain read: big Adani jobs have moved past digging and foundations into the main building phase, so work is getting billed faster.
- **Revenue guidance held, margin guidance lower again.** FY27 revenue still ₹4,400-4,500 cr. Margin target is now 7-8%, reached only in the second half, against the 8-9% talked about in April. The chairman also said Adani's cost-plus contracts work out to about 7% at the EBITDA level.
- **Slow order quarter.** New orders only ₹630 cr (93% Adani), against a full-year aim of ₹5,000-6,000 cr. Bid pipeline ₹6,200 cr. About ₹3,000 cr of the book is Dharavi (Mumbai) rehousing for Adani.
- **Cash getting better.** Interest-free client advances of ₹836 cr, fixed deposits of ₹324 cr; management expects to be net debt-free in two to three quarters. The stuck UP hospital money (about ₹100 cr) was expected to clear by Aug-Sep; the ₹90 cr Surat Diamond Bourse dues are still unresolved.
- **Tone:** upbeat on execution, staffing up hard (2,400 to 2,600 staff, 16,000+ workers on site), and cautious on margins.

Business mix & capacity (quick facts)

- **Domestic vs export:** 100% domestic, and now focused on Gujarat and Mumbai only. Plain read: every rupee is earned in India, mostly in two regions.
- **Customer mix:** about 70% of the order book is Adani Group work and 30% outside; roughly 45% of Q1 revenue came from Adani. Plain read: one co-owner customer drives most of the future work.
- **Capacity:** a contractor has no plant utilisation figure. The gauge is order book against sales, about three years of work. The precast plant can do ₹150-200 cr of output a year.

Since our last report ★

Builds on the Q4-2026 report (boundary call 30 Apr 2026). Prior verdicts: **Durable trigger: MAYBE** | **Management consistent: NO**.

Prior read	What we said then	What the new call shows	Movement
Trigger: MAYBE	Adani lifts revenue; profit not yet	Revenue +65% and profit back from zero, but margin 6.4%	Improving
Consistency: NO	Margin target keeps falling	Margin target trimmed again, from 8-9% to 7-8%, and pushed to H2	Slipping
FY27 revenue ₹4,500 cr	Promise to watch	Held at ₹4,400-4,500 cr; Q1 run-rate behind but Q1 is seasonally weak	On-track
Margins to 8-9%	Unproven	Cost-plus Adani work said to settle near 7%; that caps the upside	Broken (reset lower)
Old disputes (UP, Surat)	Amber flags	UP collections "by Aug-Sep"; Surat still open	On-track / unresolved

Verdict change this quarter: both unchanged. Profit finally turned up, which helps the trigger case, but the margin bar was lowered again. That's exactly the pattern behind the No on consistency.

3. Earning trigger thesis

> **The headline:** PSP's driver is **Adani as co-owner and anchor client**. Adani's spending on airports, Dharavi housing, ports and offices has doubled the order book, and this quarter it finally turned into fast billing. The limit is now spelled out: Adani pays cost-plus, which management says lands near a 7% operating margin. So this is a volume story with a capped margin. Profit can grow a lot from a tiny base, but it won't get back to the old high-margin days.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Adani order flow	₹5,000-6,000 cr new orders a year; Dharavi right of first refusal	Book ₹13,245 cr (+103%); but only ₹630 cr won in Q1	3-5 yrs	Strong on revenue	unchanged
Faster execution	Projects past foundation stage; FY27 revenue ₹4,400-4,500 cr	Q1 revenue +65%	FY27	Moderate-Strong	↑ now visible
Margin recovery	7-8% in H2; cost-plus near 7%	6.4% in Q1, up from 4.8%	H2 FY27	Weak: capped and still below target	↓ target cut again
Debt-free balance sheet	Net debt-free in 2-3 quarters	Large interest-free advances; finance cost falling	FY27	Moderate	new

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY22-FY25	11-13% "normal" margin	12% → 11% → 7% → 6%	Missed
FY25	Revenue ~₹2,800 cr	~₹2,468 cr	Missed
FY26	Revenue ₹3,000-3,200 cr	~₹3,149 cr	Delivered
Nov 2024	Organic Gujarat growth story	Founder sold half to Adani; story rebuilt around Adani	Dropped / changed
Apr 2026	FY27 margins 8-9%	Jul 2026: target cut to 7-8%, H2 only; Q1 at 6.4%	Missed (goalpost moved)
Apr 2026	FY27 revenue ~₹4,500 cr	Q1 +65%; guide held	Too early
Apr 2026	~₹5,000-6,000 cr orders in FY27	₹630 cr in Q1; "same range" reaffirmed	Too early

Narrative drift: The growth story is steady now. It's Adani, and they're delivering on revenue. But the margin story keeps getting softer: 11-13%, then 10-11%, then 8-9%, and now 7-8% with a hint that Adani's cost-plus deals sit around 7%. To be fair, this call was more honest than earlier ones about why margins are capped. Old receivable fights (UP hospitals, Surat Diamond Bourse) are still being "resolved next month".

5. Bottom line - two verdicts

Durable earning trigger? → MAYBE (vs last quarter: unchanged)

The move this quarter was profit finally turning up as Adani work hit full swing, which is the first real sign the trigger can reach earnings. It stays a Maybe because the margin ceiling is now clear. Cost-plus work near 7% means profit grows only as fast as revenue from here, and a slow order quarter shows inflows can be lumpy. Two or three quarters of 7%-plus margins would make this a Yes.

Management consistent? → NO (vs last quarter: unchanged)

The margin target dropped again within one quarter, from 8-9% to 7-8%, and the date slid to the second half. Revenue delivery is good and the tone is more candid, but the key number keeps getting reset lower. That's the same pattern that earned the No last time.

Concall-tracker report generated 6 Nov 2026 from PSP Projects' Q1 FY27 earnings-call transcript (30 Jul 2026), building on the Q4-2026 report. Figures are consolidated as stated by management; guidance items are targets, not results. This is not investment advice. Do your own due diligence.